Convergence of $\boldsymbol{\phi}_1$: EXP1 (full $\hat{\Sigma}_J$), training 2005-2019

S&P 500
$\phi_{1,1,\text{corr}}$
$\phi^*_{1,1}$ corr = -1.392

Bonds
$\phi_{1,2,\text{corr}}$
$\phi^*_{1,2}$ corr = 3.898

MSCI Europe (VGK)
$\phi_{1,3,\text{corr}}$
$\phi^*_{1,3}$ corr = -2.080

Gold
$\phi_{1,4,\text{corr}}$
$\phi^*_{1,4}$ corr = 2.305

NASDAQ-100
$\phi_{1,5,\text{corr}}$
$\phi^*_{1,5}$ corr = 5.687

Iteration